Bitcoin Policy New Zealand
nzbitcoin.org

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To: Ministry of Business, Innovation and Employment (**MBIE**)
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Payment services consultation - Written submission from Bitcoin Policy New Zealand

1. Introduction

Bitcoin Policy New Zealand (**BPNZ**) welcomes the opportunity to submit on MBIE's May 2026 discussion document, *Payment services regulation*.

By way of background, BPNZ is an independent policy and education organisation focused on Bitcoin's role as open, decentralised, peer-to-peer money and financial infrastructure. Our interest in this consultation is limited to Bitcoin's role in payment services, including consumer and merchant use of Bitcoin and layer 2 payments protocols such as the Lightning Network, Bitcoin wallet services, payment facilitation, merchant acceptance, custody and the treatment of digital-token payment services within any future payment services framework.

We support MBIE's focus on whether New Zealand's payment service rules are clear, fit for purpose, proportionate and supportive of competition and innovation. We agree that payment services are changing quickly and that New Zealand should ensure its settings do not unintentionally entrench incumbent payment networks or prevent new payment technologies from developing.

Our key submission is that Bitcoin payments should be recognised as part of New Zealand's future payment services landscape. Any future framework should be technology-neutral, activity-based, risk-proportionate and careful not to regulate open protocols or self-custody as if they were conventional financial intermediaries.

Bitcoin can already be used for payments in New Zealand. The practical use cases include domestic retail payments, tourism, online payments, person-to-person transfers and cross-border value transfer. Bitcoin payments, particularly through the Lightning Network, can offer low-cost, fast, open and interoperable payment options for consumers and merchants. These benefits are most likely to develop if the regulatory framework gives businesses and users clarity while avoiding unnecessary barriers to entry.

2. Summary of recommendations

BPNZ recommends that MBIE:

(a) Recognise Bitcoin payment services as a legitimate part of the payment services landscape, distinct from speculative trading or investment activity;

(b) Apply future payment-service rules based on the activity performed and risk created, not on the technology used or whether the provider is a bank, non-bank, Bitcoin wallet provider, stablecoin provider or other digital-token service;

(c) Distinguish clearly between:

- non-custodial Bitcoin software and self-custody, where no provider holds customer funds;

- custodial wallet or payment services, where a provider controls customer Bitcoin or fiat balances;

- merchant payment processors, which may facilitate Bitcoin acceptance but not hold customer value for long periods;

- exchange or conversion services, where customers convert between Bitcoin and New Zealand dollars or other currencies;

(d) Avoid regulating the Bitcoin network itself, open-source software, miners, node operators or self-custody tools as "payment service providers" merely because they enable payments;

(e) Ensure any future rules for digital-token payment services focus on the real consumer risk: custody, control, disclosure, fraud, operational resilience, redemption or conversion promises and responsibility when something goes wrong;

(f) Recognise that some barriers to Bitcoin payments sit outside MBIE's immediate payment-services consultation, particularly tax treatment. While tax policy should not be the central focus of this submission, MBIE should coordinate with Inland Revenue and other agencies because current tax treatment materially affects whether Bitcoin can function as a practical payment option; and

(g) Support innovation by keeping compliance obligations proportionate for small providers, pilots, community circular economies and merchant payment processors that do not create material custodial or systemic risk.

3. Response to Question 1: Description of payment services

We broadly agree with MBIE's description of payment services as front-end services that help people and businesses pay and get paid, including payment facilitation services and stored value services.

We support MBIE's inclusion of services that let customers send or receive payments using digital tokens or electronic money. This is important because Bitcoin and other digital-token payment services are no longer merely theoretical. New Zealand already has merchants that accept Bitcoin and New Zealand consumers and visitors can use Bitcoin wallets to pay for goods and services. A good example of this is the growing Bitcoin circular economy in Queenstown Lakes. Through the efforts of Bitcoin Basin, as of the date of this submission there are currently around 50 merchants in Queenstown who regularly accept Bitcoin and that number is only going to increase.

Nevertheless, MBIE should ensure its description does not unintentionally treat all digital-token activity as equivalent. There are important differences between:

- Bitcoin used as a payment asset;
- stablecoins or tokenised deposits designed to track fiat currency;
- custodial wallets that hold customer balances;
- non-custodial wallets that are simply software tools;
- exchange platforms used for investment or trading; and
- merchant processors that enable Bitcoin acceptance and may instantly convert to New Zealand dollars.

These distinctions matter because they create very different risks. A custodial wallet provider holding customer Bitcoin creates custody and operational risks. A non-custodial wallet provider does not hold customer funds and should not be regulated in the same way. A merchant processor that facilitates payment and settles quickly to a merchant is different again.

We suggest MBIE expressly recognise that payment services using digital tokens can be custodial or non-custodial and that future rules should focus on the service provider's actual control over customer value.

4. Response to Questions 2–4: Clarity and fit of current rules

In our view, the current rules for Bitcoin payment services are not sufficiently clear.

For consumers, merchants and service providers, it is often difficult to understand which rules apply to Bitcoin payment activity. The answer can depend on the business model, whether the provider holds customer funds, whether fiat conversion is involved, whether the provider is acting as an exchange, whether AML/CFT obligations apply and whether the service is framed as a payment service, wallet service, custody service or trading platform.

The practical effect is uncertainty. A merchant considering whether to accept Bitcoin may not know what obligations apply. A wallet provider may not know whether future rules will treat it as a payment service provider even if it never controls customer funds. A consumer may not understand the difference between a self-custody wallet, a custodial wallet and an exchange account. Banks and payment partners may also take cautious or inconsistent approaches to digital-token businesses, making it harder for legitimate providers to operate.

We agree with MBIE that current rules can be fragmented and that similar-looking services may be treated differently depending on structure. That is particularly true for digital-token payment services.

Bitcoin payment services would benefit from a clear, proportionate framework that explains:

- when a Bitcoin-related business is a payment service provider;
- when custody or safeguarding obligations apply;
- what disclosures should be made to users;
- what operational-resilience expectations apply;
- how complaints and errors should be handled;
- how providers should explain whether customer value is held by the provider or controlled by the customer; and
- how the use of Bitcoin for making and receiving payments, and the processing of those payments, differs from investment, trading or deposit-taking.

Clear rules would assist not only consumers, but also legitimate businesses seeking banking relationships, investment, insurance and commercial partnerships.

5. Response to Question 5: Problems experienced by consumers and businesses

From a Bitcoin payment perspective, the most significant problem is not that Bitcoin payments fail technically. In many cases, Bitcoin payments, particularly Lightning payments, are fast and low-cost. The larger problem is that the surrounding legal, tax, banking and compliance environment makes everyday use difficult.

For small everyday Bitcoin payments, current tax treatment creates a major practical barrier. A person who buys a coffee or meal with Bitcoin may technically need to calculate whether there has been a taxable gain or loss on the Bitcoin disposed of. This makes small payments impractical for ordinary users and creates unnecessary friction for merchants seeking to accept Bitcoin.

We recognise that tax policy is not the focus of the MBIE's payment services consultation. However, it directly affects payment use. A payments framework that recognises Bitcoin as a payment method will be less effective if other parts of the law continue to treat every small Bitcoin payment as a taxable disposal requiring calculation and record-keeping.

BPNZ has separately proposed a *de minimis* tax exemption for Bitcoin payments under $1,000[1], limited to genuine payment or consumption transactions, with anti-avoidance / anti-structuring rules to prevent larger transactions being artificially split. We recommend that, following on from this consultation, MBIE prioritise a co-ordinated approach with Inland Revenue to promote the use of Bitcoin and the Lightning Network in payments innovation through sensible tax policies. See our further comments on this at paragraph 14 below.

6. Response to Question 6: Choice, prices and service levels

New Zealand consumers and businesses would benefit from more payment choice and stronger competition.

Many merchants face meaningful costs from card payment networks and payment intermediaries. These costs are often built into retail prices or passed on through payment fees. Bitcoin payment networks, especially the Lightning Network, can offer an alternative rail with very low transaction costs, rapid settlement and global interoperability.

Bitcoin payments are not a complete substitute for existing payment systems. They will not suit every consumer, merchant or transaction. However, they can add useful competition and resilience. For merchants, Bitcoin can provide an additional payment option. For consumers, it can provide choice and financial autonomy. For tourists, migrants, remote workers and cross-border businesses, Bitcoin can reduce friction when moving value across borders.

New Zealand should not design its payment services framework only around existing domestic bank-account and card-network models. A forward-looking framework should allow alternative payment rails to develop safely.

7. Response to Questions 7–8: Barriers to launch and growth

The main barriers to Bitcoin payment services in New Zealand are:

(a) <u>Regulatory uncertainty</u>
Providers and merchants are unsure how digital-token payment services will be treated, especially where a business model does not fit neatly into existing categories;

(b) <u>Banking access</u>
Bitcoin-related businesses can face difficulty obtaining or maintaining bank accounts and payment relationships, even when they are legitimate businesses seeking to comply with AML/CFT obligations;

(c) <u>Tax friction</u>
Everyday Bitcoin payments are discouraged because small purchases can create tax calculation and reporting obligations for users;

(d) <u>Consumer understanding</u>
Many users do not understand the difference between self-custody, custodial wallets, exchanges, payment processors and stablecoins. Better disclosure rules would help; and

(e) <u>Compliance proportionality</u>
Small providers, pilot projects and merchant payment processors may face uncertainty about whether future obligations will be scaled to their actual risk.

The most important barrier to address first within MBIE's remit is regulatory clarity. A clear activity-based framework would help legitimate providers, merchants, banks, investors and consumers understand what obligations apply.

[1] See https://nzbitcoin.org/BPNZ_Policy_Paper_De_minimis_Tax_Exemption_2025-11-12.pdf

8. Response to Questions 9 and 10: Adequacy of consumer / business protections

The discussion document rightly highlights at paragraphs 92 and 93 that AML/CFT rules do not of themselves provide protection for users. Indeed, in our experience where those rules are poorly matched to the technology, they can lead not only to confusion for VASPs as to how to comply with their obligations (when it is not technically possible to do so) but also actively degrade user outcomes.

A good example of this is the application of the “wire transfer” information requirements in the AML/CFT Act 2009 (implementing the FATF “travel rule”) to virtual asset transfers. From 1 June 2024 transfers of Bitcoin are treated as international wire transfers, requiring a VASP which is an ordering institution to obtain and transmit prescribed originator and beneficiary information with the transfer. These obligations attach in full even to low-value domestic payments — precisely the use case which the Lightning Network, the principal means by which Bitcoin is used for retail-scale payments in New Zealand and elsewhere, serves best.

Whatever the merits of that compliance model for on-chain transfers between identified custodial institutions, it does not (and structurally cannot) work for service providers processing payments over the Lightning Network. A full treatment of the precise architectural obstacles to this are beyond the scope of this submission, however the end result is that the VASP frequently cannot determine whether the destination is another New Zealand reporting entity, an offshore VASP, a merchant processor or a self-hosted wallet, and so cannot know what information must be transmitted, to whom or whether the counterparty is capable of receiving it.

The practical consequences for user protection are perverse. Compliant service providers will either decline to support Lightning payments at all (disabling transfers to external or self-hosted wallets) or collect and retain far more personal information about payers and payees than the payment rationally requires. This outcome is in tension with the collection and minimisation principles of the Privacy Act 2020 and creates data-security risk for users. Meanwhile, New Zealanders who want these services simply obtain them from offshore platforms, without ay New Zealand supervision, safeguarding, disclosure or dispute resolution at all. A rule intended to protect the integrity of the financial system thus operates, in this context, to push users toward channels with fewer protections, while imposing dead-weight compliance cost on the domestic providers that remain.

We recommend that MBIE’s advice to Ministers records this misfit and that the design of any future payment services framework proceed in coordination with the Ministry of Justice (as administrator of the AML/CFT Act) and the DIA (as the AML/CFT supervisor). In applying the discussion document’s own design principle (paragraph 103(a)), namely that rules should focus on what a service does and the risks it creates, rather than importing assumptions inherited from a different technology, we would look for a recalibration of the AML/CFT settings for virtual asset transfers on a genuinely risk-based footing, meaning (a) proportionate treatment of low-value retail payments and (b) a payments framework that does not attempt a ham-fisted replication of correspondent-banking information mandates that assume message formats and identified institutional chains that open payment networks do not have.

9. Response to Questions 14–15: Objectives for future rules

We broadly support MBIE’s proposed objectives and consider the most important to be:

(a) <u>Clear and easy-to-apply rules</u>
Rules should be understandable for providers and users. They should not depend on outdated labels or institutional categories;

(b) <u>Competition and innovation</u>
The framework should not entrench incumbent payment networks or create unnecessary barriers for new technologies;

(c) <u>User trust and protection</u>
Users should receive clear information about custody, risks, fees, reversibility, complaint processes and who is responsible when something goes wrong;

(d) Proportionality
Rules should scale with the risk and size of the service; and

(e) Cross-border compatibility
Bitcoin and digital-token payment services are inherently global. New Zealand should avoid creating local rules that make it unnecessarily difficult for providers to serve New Zealand users or for New Zealand businesses to interact with global payment infrastructure.

If not all objectives can be achieved at once, MBIE should prioritise clarity, proportionality and competition. A framework that is unclear or disproportionately burdensome will reduce innovation and limit consumer choice.

10. Response to Question 16: Activity-based regulation

Yes. Future rules should apply based on what a provider does, not what type of organisation it is.

This is particularly important for Bitcoin payment services. A bank, exchange, wallet provider, fintech, merchant processor or software company may all interact with Bitcoin payments in different ways. The relevant question should not be "what kind of entity is this?" but rather does the provider:

- hold or control customer funds?
- make promises about redemption, conversion or settlement?
- process payments for merchants?
- provide custody?
- merely publish software or help users interact with an open network?
- create consumer reliance or systemic risk?

An activity-based approach would ensure similar risks are treated similarly while avoiding unnecessary regulation of low-risk activities.

11. Response to Question 17: Risk-based and size-based rules

Yes. Rules should apply differently depending on risk and size.

A small merchant payment processor that does not hold customer value at all, or does not hold it for long periods, should not face the same obligations as a large custodial wallet provider holding significant customer balances. A non-custodial wallet should not be treated like a deposit taker or custodian. A business that offers instant Bitcoin-to-NZD merchant settlement may need clear conduct and operational expectations, but not necessarily full prudential regulation.

Risk factors should include:

- whether customer money or Bitcoin is held;
- how long customer value is held;
- whether the provider controls private keys;
- transaction volumes;
- total customer balances;
- whether the service is retail or wholesale;

- whether the service is used for cross-border payments;
- whether the provider makes redemption or conversion promises;
- whether users rely on the provider for access to essential funds;
- whether the provider's failure would create wider market disruption.

This approach would allow innovation while ensuring stronger obligations apply where real consumer or systemic risks arise.

12. Response to Question 19: Newer payment models where definitions may not fit

Bitcoin payment services are a clear example of newer payment models that do not fit neatly into existing categories.

For example, a non-custodial Bitcoin wallet may allow a user to send or receive payments, but the wallet provider may never hold customer funds, never process the payment and never have the ability to reverse or block a transaction. Treating that software provider as equivalent to a custodial payment service provider would be inappropriate.

A Lightning payment processor may help a merchant accept Bitcoin and receive either Bitcoin or New Zealand dollars. Depending on the structure, the provider may hold funds briefly, provide exchange services or simply facilitate payment routing. The regulatory treatment should depend on those actual activities.

A custodial Bitcoin wallet presents a different risk. If the provider controls customer Bitcoin, then users need clear information about custody, safeguarding, operational resilience, fees, complaints and what happens if the provider fails.

These distinctions should be built into any future framework.

13. Digital-token payment services: specific comments

MBIE correctly notes that digital-token payment services raise additional questions. We agree, but submit that the framework should avoid treating all digital tokens alike.

Bitcoin is different from a stablecoin or tokenised deposit. Bitcoin is not redeemable from an issuer at a fixed value. It is an open, decentralised monetary network. This means some risks are lower, while others are different.

For example:

- There is no issuer whose reserves need to be regulated;
- There is no promise that Bitcoin will maintain a fixed NZD value;
- There is no central party responsible for settlement;
- Users can self-custody without relying on an intermediary; and
- Custodial intermediaries can still create consumer risks if they hold Bitcoin for customers.

Accordingly, the appropriate regulatory focus should be on intermediaries and representations, not on the Bitcoin protocol itself.

Where a provider offers custody, exchange, payment processing or merchant settlement, rules may be appropriate. Where a user holds their own Bitcoin and sends it directly to another person or merchant, no payment service provider may be involved in the conventional sense.

14. Matters outside this consultation but relevant to payment outcomes

BPNZ acknowledges that this consultation is not primarily about tax policy. However, tax treatment is one of the largest barriers to Bitcoin being used as a payment method in New Zealand.

Under current settings, small Bitcoin payments can create tax calculation and reporting obligations. This undermines the possibility of Bitcoin fulfilling the function it was designed for - practical money for everyday use. It also limits the benefits that MBIE identifies as important: competition, innovation, lower costs and user choice.

We recommend that MBIE note this issue in its advice to Ministers and coordinate with Inland Revenue on whether a targeted *de minimis* exemption for small Bitcoin payments would support the objectives of payment services reform.

Such an exemption should be limited to genuine payment and consumption transactions, should not apply to professional trading or investment disposals, should include anti-avoidance / anti-structuring rules for artificially split transactions and should preserve GST obligations for merchants.

15. Conclusion

Bitcoin payments can contribute to a more competitive, innovative, resilient and open payment services landscape in New Zealand.

The opportunity for MBIE is to design a framework that protects consumers and businesses without locking New Zealand into legacy payment models. A good framework would recognise Bitcoin payment services, regulate intermediaries according to the risks they actually create, preserve the freedom of individuals to self-custody and transact peer-to-peer and avoid unnecessary barriers for merchants and payment innovators.

BPNZ supports a clear, proportionate, activity-based payment services framework that encourages competition and innovation while giving users confidence about custody, disclosures, reliability and responsibility when things go wrong.

We would welcome the opportunity to engage further with MBIE as this work develops.

The Executive Committee
Bitcoin Policy New Zealand

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